Themes and Trade Ideas

Fixed Income

March 17, 2026

Quick Take on Natura's 4Q25 Results

Natura
Moody's: Ba2 (Stable)
S&P: BB (Stable)
Fitch: BB+ (Stable)

In this note we provide a brief overview of Natura's 4Q25 credit metrics, operational performance and our bond view for the company.

- **The results.** Natura reported net revenue of BRL 6.2 billion, down 12.1% YoY, reflecting weaker demand in Brazil and still-challenging conditions in Hispanic America, albeit with sequential improvement. Despite the softer top line, margins improved meaningfully, with adjusted EBITDA reaching BRL 978 million and a margin of 15.8%, supported by SG&A efficiencies and the partial reversal of employee bonus provisions (not quantified by management). On the cash side, seasonal operating cash flow supported a sequential reduction in net debt to BRL 3.5 billion, with leverage declining QoQ to 1.8x net debt/EBITDA (ex-IFRS 16).
- **Bond view**. NATURA '28 (the most liquid bond in Natura's curve) currently trades at a 6.6% YTW, offering a pickup of 50-90 bps compared to similarly tenured peers like RAILBZ and IOCMXW. The bond's performance has not materially reflected the sale of Avon International last year, a key de-risking event for Natura's story, given that the asset was a drag on the company's cash generation. This is likely due to the softer performance observed over recent quarters in LatAm, driven by the slowdown in the Brazilian beauty market, as well as pressures from Wave 2 on other regions. Even though Natura's credit metrics remain comfortable, we believe that investors may stay on the sidelines until there is greater visibility regarding margins and cash generation.
- For more details on the credit metrics and operational performance, see the analysis below.

Credit Metrics

BRL mm	4Q24	1Q25	2Q25	3Q25	4Q25	YoY	QoQ
Net Revenues	7,046	5,143	5,687	5,194	6,193	-12.1%	19.2%
Adjusted EBITDA	622	723	796	577	978	57.2%	69.5%
EBITDA Margin	8.8%	14.1%	14.0%	11.1%	15.8%	7.0 p.p.	4.7 p.p.
Free Cash Flow	1,698	-477	-1,107	n.a.	415	-75.5%	n.a.
Gross Debt	6,848	6,587	6,331	6,298	6,149	-10.2%	-2.4%
Cash and Equivalents	4,458	3,686	2,343	2,253	2,671	-40.1%	18.5%
Net Debt	2,390	2,901	3,989	4,044	3,477	45.5%	-14.0%
Net leverage (excl. IFRS 16)	1.8x	1.7x	2.5x	2.9x	1.8x	0.0x	-1.1x
Cash / Short-term Debt	79.8x	26.8x	26.5x	12.7x	26.6x	-53.2x	13.8x

Source: Company, Itaú BBA. Note: Avon International is not consolidated in all periods.

Our FCF is calculated as: i) (+/-) net income adjusted for non-cash items; ii) (+/-) variation of assets and liabilities; iii) (-) interest expenses; iv) (-) income tax payments; and v) (-) capex.

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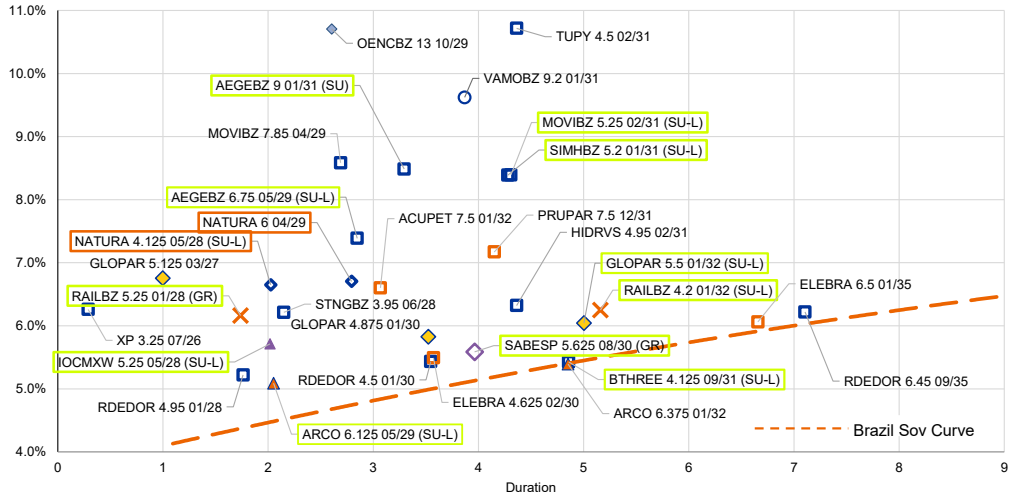
Yield (YTW, %) vs. Duration – Non-Cyclical High Yield Brazilian Corporate Bonds



Source: Bloomberg, Itaú BBA. (*) The green labels indicate the ESG Bonds.

Operating Performance (From Itaú BBA's Equity Consumer & Retail Team)

Aggressive cost-cutting + Q1 color take precedence over a weaker Q4 print. Q4 was soft and missed our numbers notably in top-line, gross margins, and FCF generation. However, the crux of the thesis lies in the forward-looking signals: one cautious, one quite constructive. First, the company indicated that Natura BR (-2.2% y/y in Q4) is unlikely to see a meaningful recovery in Q1 - as the primary revenue driver, this fuels concerns over potential 2026 downward revisions, weighing on the broader P&L and, mostly, FCF generation. Conversely, we estimate the personnel expenditure cost cuts announced in Dec/25 are highly significant, representing ~R$500mn-600mn annualized (Table 1). These are poised for full-year capture by 2027, accounting (in the best-case scenario) for ~20% of our projected EBITDA (Table 2). Naturally, (i) important uncertainties remain regarding full realization (execution risks following a ~25% administrative headcount reduction) and (ii) investors were somehow already incorporating margin gains for 2026/27 (implicitly capturing part of this cut), but these figures should definitely trigger upward earnings revisions for 2027.

A challenging start to 2026, but an encouraging profitability message. On the revenue side, management explicitly flagged a "pressured Q1" in Brazil, as commercial initiatives gain traction only gradually - a point that raised some eyebrows and reduced some enthusiasm toward the beginning of the year. However, management's tone on 2026's profitability trends was constructive, and we see a credible path to margin improvement, despite the still likely challenging Q1. On the positive side, three drivers stand out: (i) the reorganization announced in Dec/25 reduces administrative headcount by ~25% (~1,400 positions), with full savings expected from 2Q26 onwards; (ii) Hispanic LatAm margins are already recovering, with Wave 2 maturation in Mexico and Argentina driving further sequential gains; and (iii) the structural IT and systems investments that pressured Brazil's G&A throughout 2025 are now normalizing. On the headwind side, severance costs from the reorganization will weigh predominantly on 1Q26 (only ~10% was recognized in 4Q25, amounting to R$37mn and suggesting a total severance bill of ~R$370mn), and the gradual rebuilding of the employee bonus accrual (quite low in 2025) will be a drag in 2026 (contingent on operating results), though partially offset by the leaner cost base (25% fewer administrative positions).

Reorganization: R$500-600mn in annual savings potential. Execution risks under watch. On our estimates, the annualized savings from G&A cuts should reach R$500-600mn: personnel and administrative expenses within G&A totaled ~R$2.4bn in FY25, and applying the ~25% headcount reduction as a proxy implies ~R$600mn in annualized savings at the high end.

Crucially, this more than offsets the one-time severance bill within the year: we estimate total severance at ~R$370mn. With ~10% of the charge booked in 4Q25 and the bulk falling in 1Q26 (with a small tail in 2Q26), the P&L impact is front-loaded, but the recurring benefit should be visible from 2Q26 onwards, representing an important margin driver for 2026. That said, a cut of this magnitude carries execution risk: losing 25% of administrative staff could disrupt operations, and the company may need to rehire a portion of those positions over time. Additionally, salary increases for remaining employees absorbing additional responsibilities could partially offset the gross savings. As a result, we expect the net benefit to come in below the R$600mn gross estimate.

R$250mn FCF generation below Street's expectations. FCF (measured by q/q change in Net Debt and adjusted by non-recurring impacts) was R$254mn, while free cash flow to firm from continuing operations was R$453mn in 4Q25, down vs R$647mn in 4Q24. Net Debt/EBITDA reached 1.57x (1.31x ex-TBS provision) - within management's 1.0-1.5x optimal range. With transformation costs largely behind, the focus now shifts to reported (rather than underlying) EBITDA margin in 2026, and to the translation of EBITDA growth into free cash flow. We continue to see FCF generation as the #1 re-rating driver potential for Natura, as it has the potential to clearly bring a floor to the stock price.

Brazil: Sluggish sales growth. Direct sales channel a key watch item. Net revenue in Brazil fell 4.8% y/y to R$3.8bn (3% below IBBAe), with a material deceleration in the direct sales channel (-10.1% y/y), a key point of concern given that it accounts for 77% of revenues in Brazil. The contraction in sales reflects (i) a 4.9% y/y reduction in active beauty consultants, coupled with diminished productivity; (ii) fragrance underperformance from body splash shortages and a weaker innovation pipeline; and (iii) higher exposure to Northeast Brazil, a region more acutely pressured by household indebtedness and elevated interest rates. Natura brand fell 2.2% y/y against a tough +21.1% comp in 4Q24, while Avon Brazil declined 11.5% y/y, a sequential improvement from -17.3% in 3Q25, as operational disruptions from the Interlagos-Cajamar plant migration were partially mitigated, though the brand still awaits the full benefit of its Mar/26 relaunch.

Hispanic LatAm: Sequential recovery underway, but Argentina remains volatile. Net revenue in Hispanic LatAm fell 21.5% y/y in BRL (-1.4% in CC) to R$2.4bn, reflecting a combination of Wave 2 disruptions in Argentina (Jul/25 rollout), FX headwinds, and severe hyperinflation effects. Excluding Argentina, the CC picture was meaningfully better, with Natura Hispanic posting +6.7% CC growth and Avon ex-Argentina approaching flat at -0.2% CC (improving from -15.4% in 3Q25). The number of active consultants in Hispanic LatAm fell 22.2% y/y, primarily reflecting Wave 2 channel downsizing in Argentina. Management guided for a significant acceleration in CC revenue growth through 2026, supported by: (i) Wave 2 maturation in Mexico (favorable comps from 2Q26) and Argentina (from 3Q26); and (ii) Avon's brand relaunch in Mexico.

EBITDA beat driven by SG&A reduction, but bonus reversal clouds quality. Adjusted EBITDA reached R$978mn (+57% y/y), with a margin of 15.8% (+7p.p. y/y, +4.4p.p. vs. IBBAe of 11.4%). Brazil was the standout, delivering R$818mn in underlying EBITDA at a 21.7% margin (+4.1p.p. y/y), supported by gross margin gains (+1.5p.p. y/y), selling expense optimization, and (importantly) the reversal of a portion of the employee bonus provisions accrued through 9M25, compounded by the non-accrual of any bonus in 4Q25. Management did not quantify this reversal, noting only the underlying EBITDA margin would have expanded even without it. While this is plausible given the very weak 4Q24 base, the absence of disclosure makes it difficult to assess the true underlying margin run-rate heading into 2026. A reasonable proxy could be the y/y change in “Payroll, profit sharing and bonuses” expenses, which fell by R$244mn y/y - a significant figure that likely captures most of the impact. The reduction in bonus provision in 2025

is a tailwind for cash generation in 2026. For Hispanic LatAm, underlying EBITDA margin expanded 8.1pp. y/y to 7.5%, driven by planned SG&A efficiencies from Wave 2 integration.

Emana Pay penetration accelerates significantly – worth monitoring. The overall credit book jumped 9% y/y and Emana Pay's credit penetration in sell-in jumped from 19.3% in 4Q24 to 40.6% in 4Q25 (vs. 32% in 3Q25), reflecting the rapid migration of consultant credit from Natura's own credit to the fintech platform. Active users grew 49% y/y, reaching 628k (42% of total consultants). While the strategic rationale is sound (more personalized, data-driven credit improves consultant productivity and working capital access) the rapid portfolio expansion is something to keep on the radar screen, given the still challenging credit environment in Brazil. The consolidated 90-day NPL ratio rose from 1.2% in 4Q24 to 4.5% in 4Q25 (+3.3p.p.), and management attributed the increase to portfolio seasoning and the challenging Brazilian consumer environment (high household leverage, elevated interest rates), noting that Emana Pay's own-book NPL remains below the non-Emana portfolio (evidence of data-driven risk selection). A new R$250mn FIDC tranche was issued in Oct/25 to support the platform's growth.

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